

TIMES OF DISTRESS
(left) Sri Lankans wait in long lines to buy diesel at a fuel station in Colombo; and Indian external affairs minister S. Jaishankar with Sri Lankan prime minister Mahinda Rajapaksa in Colombo

ervoirs are dropping. With rains due only in May, water is the next looming scarcity and must be preserved for agriculture, not power generation. On March 29, the government said ongoing interruptions to electricity supply will extend up to 10 hours a day, with the possibility of rising further.

The announcement was met by howls of dismay. A spate of small and medium businesses, including bakeries and restaurants, has already closed down. The country's budding information and communications technology (ICT) sector, a key foreign exchange earner, will take a hit.

Term tests were put off for lack of paper. The motor traffic department can't import plastic cards for new driver's licences. Milk powder, a household staple, had been in short supply since 2021 and is no longer available on supermarket shelves. The local animal husbandry industries cannot afford feed, which is also imported, and domestically-produced liquid milk is scant.

"This government has left the people with next to nothing," fumed H.K. Keerthiratne, a 46-year-old tuk-tuk driver in Malabe, a Colombo suburb. Daily wage-earners have been hit the hardest. When their cooking gas finishes, they stand for days at a time in kerosene queues, not knowing when the bowsers will arrive. Keerthiratne's earnings are ploughed back into petrol, but there are barely any hires now and he cannot afford the expenses of his three children. They no longer drink their favourite 'milk tea'.

Laboratories of the main national hospital in Colombo are short of medical equipment and are operating at minimum capacity. Some surgeries have suspended routine operations. The ministry in charge of pharmaceutical products said on March 30 that the public health sector had only three weeks' worth of 40 types of essential medicines. He vowed that stocks would be replenished but banks are dry of dollars to open letters of credit.

How did it crash so spectacularly? On March 25, the International Monetary Fund (IMF)—which the government has belatedly started discussions with—issued its latest review on Sri Lanka. The multilateral lender pointed out that the country was already in difficulty before Covid-19. The economy hadn't recovered from the Easter Sunday terrorist attacks of April 2019, which hobbled tourism. And it was highly exposed to global financial markets, having borrowed heavily.

Policy changes by Gotabaya Rajapaksa after his presidential victory in November 2019 made things worse, revenue-wise. Pledging to develop a "people-centric economy through tax policy changes to promote production and reduce the cost of living", he cut crucial taxes, leading to an estimated revenue loss exceeding two per cent of GDP. When the virus arrived, therefore, the fiscal cushion was thin.

As dollars started bleeding out on essential inputs, the government introduced import restrictions on non-essential goods. For instance, motor vehicle shipments have been banned since March 2020 to save foreign currency inflows and the spare parts market is dried out. A licensing system was introduced for a long list of other items, creating a parallel black market that thrives even today.

With reserves deteriorating, Sri Lanka was hit with back-to-back downgrades from global rating agencies. This limited its ability to continue borrowing from international financial markets. So, the central bank stepped in to directly finance the budget. The regulator printed 1.2 trillion